1) If the firms in an industry are price takers, then every firm in the industry faces a horizontal demand curve.

a. True

b. False

2) Final price and output decision making process of firms vary due to differences in their

a. Supply curves

b. Cost curves

c. Market structure

d. Demand curves

3) The competitive firm's supply curve is equal to

a. Its marginal cost
b. Portion of the marginal cost curve that lies above AFC
c. Portion of the marginal cost curve that lies above AVC
d. Portion of the marginal cost curve that lies above AC

4) The following table is for a firm in a competitive market.

Quantity	Total Revenue
0	Rs0
1	Rs11
2	Rs22
3	Rs33
4	Rs44

The price of the firm is

a. Rs.22
b. Rs.11
c. Rs.33
d. Rs.44

5) The following table is for a firm in a competitive market.

Quantity	Total Cost
0	Rs5
1	Rs8
2	Rs11
3	Rs14
4	Rs17

The fixed cost of the firm is

a. Rs8
b. Rs6
c. Rs5
d. Rs7

6) If profit maximizing firms in a perfectly competitive industry are producing 14,000 units per day, but can only sell 12,000 units per day at the current market price of $23, then the market equilibrium price must be greater than $23.

a. True

b. False

7) The condition for a firm's shut-down in short run if

a. Price is greater than average fixed cost.
b. Price is greater than marginal cost.
c. Price is less than average variable cost.
d. Price is less than average fixed cost.

8) If a competitive firm is selling 50 units of its product at a price of Rs8 per unit and earning a loss, then

a. its marginal revenue is less than Rs8.
b. its average revenue is greater than Rs8.
c. its total cost is more than Rs400.
d. its total cost is less than Rs400.

9) The pre-necessary condition for a firm's exit in long run if

a. Price is greater than average total cost.
b. Price is greater than marginal cost.
c. Price is less than average fixed cost.
d. Price is less than average total cost.

10) Suppose a firm in a competitive market earned Rs135 in total revenue and had a marginal revenue of Rs15 for the last unit produced and sold. What is the average revenue per unit, and how many units were sold?

a. Rs10 and 7 units.
b. Rs25 and 8 units.
c. Rs15 and 9 units.
d. Rs20 and 6 units.